



June 28, 2023

Senator Troy Singleton
400 North Church St., Suite 260
Moorestown, NJ 08057

Senator Richard J. Codey
651 Old Mt. Pleasant Avenue
Livingston, NJ 07039

Senator Linda R. Greenstein
1249 South River Rd., Suite 105
Cranbury, NJ 08512

Senator Fred H. Madden Jr.
129 Johnson Road, Suite 1
Turnersville, NJ 08012

Senator Nellie Pou
100 Hamilton Plaza, Suite 1405
Paterson, NJ 07505

Assemblyman Craig J. Coughlin
New Jersey Assembly Speaker
569 Rahway Ave.
Woodbridge, NJ 07095

Assemblyman Lous D. Greenwald
New Jersey Assembly Majority Leader
1101 Laurel Oak Rd., Suite 150
Voorhees, NJ 08043

Assemblyman John DiMaio
New Jersey Assembly Minority Leader
208 Mountain Ave., Suite 3
Hackettstown, NJ 07840

RE: New Jersey S332 – Oppose

Dear Senator Singleton, Senator Codey, Senator Greenstein, Senator Madden, Senator Pou, Speaker Coughlin, Majority Leader Greenwald, and Minority Leader DiMaio:

On behalf of the advertising industry, we write to oppose S332.¹ The bill contains provisions that are out-of-step with privacy laws in every other state that has enacted privacy legislation to date. S332 would impose onerous opt-in consent obligations on New Jersey consumers that would impede their access to products and services and create consent fatigue rather than protect consumer privacy. The bill would also create burdensome per se notice-at-collection requirements that would be unworkable for operators that do not have direct relationships with consumers. We ask you to harmonize S332 with other state privacy laws by permitting consumers to opt-out of sales of personally identifiable information and by removing the bill's impractical notice-at-collection requirements.

We and the companies we represent, many of whom do substantial business in New Jersey, strongly believe consumers deserve meaningful privacy protections supported by reasonable laws and responsible industry policies. However, we are concerned that state efforts to pass privacy laws will only add to the increasingly complex privacy landscape for both consumers and businesses throughout the country. We and our members therefore support a national standard for data privacy at the federal level. In the absence of a preemptive, national privacy law, harmonization across state privacy requirements is critical to ensure consumers have even protections across the nation and businesses are not forced to attempt to comply with conflicting or misaligned state requirements. S332 should be updated to match requirements of privacy laws in other states to foster consistency and uniformity.

¹ New Jersey S332, 2022-2023 Leg. Sess., located [here](#), as amended (hereinafter, "S332"). We understand that bill sponsors have socialized certain draft amendments to S332. All references to S332 herein are to that amended version of the bill, as drafted by the bill sponsors.

As the nation's leading advertising and marketing trade associations, we collectively represent thousands of companies across the country. These companies range from small businesses to household brands, long-standing and emerging publishers, advertising agencies, and technology providers. Our combined membership includes more than 2,500 companies that power the commercial Internet, which accounted for 12 percent of total U.S. gross domestic product ("GDP") in 2020.² By one estimate, nearly a quarter of a million jobs in New Jersey are related to the ad-subsidized Internet, which is dependent on reasonable and responsible data transfers that benefit consumers.³ Our group has more than a decade's worth of hands-on experience it can bring to bear on matters related to consumer privacy and controls. We would welcome the opportunity to engage with you further on our suggested amendment to S332 outlined here.

I. S332 should be updated to permit consumers to opt-out of sales of personally identifiable information rather than require opt-in consent. S332 would unreasonably require operators that collect personally identifiable information through an online service to obtain opt-in consent from consumers in order to sell such personally identifiable information.⁴ Given the breadth of the definition of the scope of this requirement, even the most basic of data processing activities would be covered.⁵ Imposing an opt-in consent requirement would hinder New Jersey consumers' ability to seamlessly engage online instead of providing them with strong privacy protections. If enacted, this requirement would result in significant consent fatigue for New Jerseyans, who would be bombarded with myriad consent requests for sales of personally identifiable information as they traverse the Internet. An opt-in consent requirement for sales of personally identifiable information would also virtually ensure New Jersey residents would have a vastly different experience with the Internet than their counterparts living in other states, because New Jersey would be the only state to adopt such a broad opt-in mandate.

In every other state that has enacted privacy legislation to date, consumers are empowered to opt-out of sales of covered data instead of being required to opt-in to such sales.⁶ Even the European Union's General Data Protection Regulation (GDPR) does not strictly require opt-in consent for sales of personally identifiable information. New Jersey should not be the first state in the nation to set an unreasonable and onerous data transfer mandate that would negatively impact both New Jersey residents and entities attempting to do business in the state alike.

II. S332's notice-at-collection requirements ignore realities of the data-driven marketplace and should be removed from the bill. S332 would require operators to provide notices to consumers at the time of collection of personally identifiable information and sensitive data.⁷ This requirement does not address how operators that do not have a direct relationship with consumers may provide the requisite notice. Imposing notice-at-collection requirements will impede operators without direct consumer relationships from collecting and using personally identifiable information and sensitive data in ways that benefit consumers, such as uses that empower consumers to receive relevant messaging, products, and services through the Internet. Such a requirement could also impede consumers from the ability to access free and low-cost information, content, and resources online. The bill should be

² John Deighton and Leora Kornfeld, *The Economic Impact of the Market-Making Internet*, INTERACTIVE ADVERTISING BUREAU, 15 (Oct. 18, 2021), located at https://www.iab.com/wp-content/uploads/2021/10/IAB_Economic_Impact_of_the_Market-Making_Internet_Study_2021-10.pdf.

³ *Id.* at 129-30.

⁴ S332 at § 4.

⁵ Kate Fazzini, CNBC, *Europe's sweeping privacy rule was supposed to change the Internet, but so far it's mostly created frustration for users, companies, and regulators* (May 5, 2019), located [here](#).

⁶ See, e.g., California Consumer Privacy Act, Cal. Civ. Code 1798.100 et. seq, Virginia Consumer Data Protection Act, Va. Code Ann., § 59.1-575 et. seq, Colorado Privacy Act, Colo. Rev. Stat § 6-1-1301 et. seq.

⁷ S332 at §§ 2, 5.

updated to require requisite notices to be posted prominently on an operator's website rather than requiring a specific notice at the time of information collection.

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We and our members support protecting consumer privacy. We believe, however, that S332 would impose particularly onerous requirements on entities doing business in the state without providing meaningful privacy protections for consumers. Furthermore, S332 would do so without receiving the benefit of thorough debate through substantive legislative hearings on the significantly amended version of S332. Bills such as S332, which would impact virtually every New Jersey resident and every company attempting to do business in the state, deserve the benefit of thoughtful deliberation and stakeholder input through the legislative process. S332, as amended, should not advance without the opportunity for such rigorous and detailed consideration in the legislature.

Laws that unreasonably restrict the free flow of information through opt-in consent requirements and impose notice obligations that are unworkable for all parties in the digital ecosystem threaten to diminish consumers' access to online resources, hinder economic growth, and contribute to market consolidation. The ability of consumers to provide, and of companies to responsibly collect and transfer, consumer data has been an integral part of the dissemination of information and the fabric of our economy for decades. The collection and use of data are vital to our daily lives, as much of the content we consume over the Internet is powered by open flows of information that are supported by advertising. We therefore respectfully ask you to reconsider S332 or amend it to reflect the recommendations set forth in this letter. Thank you in advance for your consideration of this letter.

Sincerely,

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CC: Members of the New Jersey Assembly

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